

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

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COMMENT LETTER

Financial Crimes Enforcement Network

Office of Foreign Assets Control, U.S. Department of the Treasury

Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer

Anti-Money Laundering/Countering the Financing of Terrorism Program

and Sanctions Compliance Program Requirements

Docket FINCEN-2026-0100 · RIN 1506-AB73

June 9, 2026

Comment Period Closes: June 9, 2026

I. Introduction

DDCP Foundation, Inc. ("DDCP Foundation") submits this comment as steward of the open-source DDCP protocol infrastructure. **DDUSD, LLC** (in formation, "DDUSD, LLC"), a Wyoming limited liability company, intends to file a Permitted Payment Stablecoin Issuer ("PPSI") license application with the Office of the Comptroller of the Currency under the GENIUS Act. The DDCP Reserve Management Foundation ("RMF"), a Swiss-domiciled nonprofit in formation, will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii).

DDCP Foundation filed a comment on OCC Docket OCC-2025-0372 (RIN 1557-AF41) on May 1, 2026 (Comment ID OCC-2025-0372-0257, the "OCC Comment") and a supplementary submission on May 20, 2026 (OCC-2025-0372-0349, the "OCC Supplementary Comment"). All positions in this comment are consistent with and extend those filings. The OCC record is cross-referenced throughout by docket number.

This comment advances four arguments: (1) entity classification under the GENIUS Act, establishing that DDUSD, LLC is the sole PPSI bearing Part 1033 and Part 502 obligations; (2) compliance capability under proposed §1033.240, through new issuance co-signature authority and Financial Intermediary coordination, with the self-custody wallet question addressed through the digital bearer instrument framework grounded in Executive Order 14178 and cumulative Congressional intent; (3) AML/CFT program support under proposed §1033.210, including the secondary market subcategory taxonomy and affirmative endorsement of FinCEN's proposed secondary market SAR exclusion; and (4) OFAC sanctions compliance under proposed Part 502, with a request that any PPSI implementing a centralized administrative key be required to

exercise it exclusively pursuant to a lawful order meeting the GENIUS Act section 2(16) definition.

II. Entity Classification Under the GENIUS Act

A. DDCP Foundation, Inc.

DDCP Foundation, Inc. is a Wyoming nonprofit corporation that fosters and stewards the development and maintenance of the open-source DDCP protocol infrastructure.

DASP analysis: DDCP Foundation’s protocol stewardship constitutes developing and operating a distributed ledger protocol — GENIUS Act section 2(7)(B)(ii) activity expressly excluded from the DASP definition. DDCP Foundation is not a DASP.

PPSI analysis: DDCP Foundation does not issue stablecoins and is not a PPSI under GENIUS Act section 2(23).

DDCP Foundation submits this comment as protocol infrastructure steward, with a direct regulatory interest in how the proposed rules apply to PPSI licensees deploying tokens on DDCP-compatible infrastructure.

B. DDCP Protocol

DASP analysis: The DDCP protocol is publicly available executable software deployed to a distributed ledger, inclusive of its constituent smart contracts — a distributed ledger protocol within GENIUS Act section 2(9). Section 2(7)(B)(i) expressly excludes distributed ledger protocols from the DASP definition. The DDCP protocol is not a DASP.

PPSI analysis: The DDCP protocol is software. It cannot issue payment stablecoins and is not a PPSI under section 2(23).

C. DDUSD, LLC

DDUSD, LLC (in formation) will issue DDUSD, a USD-pegged payment stablecoin, on DDCP protocol infrastructure, and intends to file a PPSI license application with the OCC.

PPSI analysis: DDUSD, LLC will be the sole PPSI — the entity that will issue DDUSD tokens, hold co-signature authority over the DDUSD token contract, bear all Part 1033 and Part 502 compliance obligations, and maintain all primary market relationships.

DASP analysis: DDUSD, LLC does not engage in the exchange of digital assets for other digital assets as a business activity within the meaning of GENIUS Act section 2(7)(A)(ii). DDUSD, LLC is not a DASP.

D. DDCP Reserve Management Foundation (RMF)

DASP analysis: The RMF will custody reserve assets — government securities and cash equivalents — not payment stablecoins. GENIUS Act section 2(7)(A) includes custodying payment stablecoins as DASP activity; reserve asset custody is not payment stablecoin custody. The RMF is not a DASP.

PPSI analysis: The RMF does not issue payment stablecoins. It will serve as third-party reserve manager authorized under GENIUS Act section 4(a)(7)(A)(iii). It is not a PPSI under section 2(23).

III. Proposed §1033.240 — Technical Compliance Capabilities

A. DDUSD, LLC's Compliance Capability

For purposes of this comment, "primary market" refers to activity in which DDUSD, LLC interacts directly with a user or holder — issuance, conversion, redemption, or burn — involving a relationship or direct interaction beyond the involvement of the DDUSD smart contract, as the term is used in the NPRM preamble (Section IV.C). "Secondary market" refers to DDUSD token activity that does not directly involve DDUSD, LLC as a party beyond the smart contract, including person-to-person transactions and transactions from self-custody wallets.

FinCEN notes that proposed §1033.240 is "a novel requirement" and that the proposed rule "neither prescribes how PPSIs should implement the technical capability requirement nor the policies and procedures specifically required to meet the proposed obligation," providing PPSIs "the flexibility to use various methods." DDUSD, LLC's compliance architecture exercises this flexibility through two complementary mechanisms.

Issuance and Redemption Co-Signature Authority. DDUSD, LLC will hold co-signature authority over all primary market activity: any new issuance of DDUSD tokens and any redemption through primary market channels requires DDUSD, LLC's co-signature to execute. SDN screening and on-chain monitoring are conducted before any co-signature is authorized. When a lawful order directing action is received and the subject of that order is identified through DDUSD, LLC's own KYC/KYB records or through the KYC/KYB records of a Financial Intermediary layer entity (exchanges, custodial wallet providers, and other entities holding direct account relationships with end users, as described further below): (i) DDUSD, LLC will refuse its co-signature for any new issuance to or for the benefit of that person; (ii) DDUSD, LLC will refuse to co-sign redemptions presented by or on behalf of that person; and (iii) for tokens held in custodial relationships at Financial Intermediary entities, DDUSD, LLC will execute a burn — reducing outstanding issuance value ("OIV") with an on-chain auditable record — when those tokens are presented by the Financial Intermediary acting under a lawful order directed at an identified person. FinCEN has confirmed that burn "can be effected through different tactics"; DDUSD, LLC's co-signature burn mechanism will provide permanent OIV reduction consistent with the compliance framework described by other commenters to OCC Docket OCC-2025-0372.

Financial Intermediary Layer Coordination. "Financial Intermediary layer entities" refers to exchanges, on/off-ramp operators, custodial wallet providers, and other entities that hold account relationships and KYC/KYB records with end users — described in full in Section IV of this comment. Contractual agreements between DDUSD, LLC and those entities will require them to apply their own compliance obligations at the point of direct customer relationship and to act on lawful orders directed to them. For that population, compliance is achieved through layered obligations: DDUSD, LLC's co-signature authority at the primary market boundary, and the Financial Intermediary entities' own account-level relationships and KYC/KYB records at the point of direct customer interaction.

B. Self-Custody Wallets as Digital Bearer Instruments

When DDUSD tokens move from a self-custody wallet to a Financial Intermediary layer entity, their legal character changes. The bearer instrument becomes an account; the holder without a formal institutional relationship becomes an identified customer; the transaction enters the

regulated financial system. This is structurally equivalent to depositing physical cash at a bank. Before that transition point — in a self-custody wallet — DDUSD reflects the properties of physical cash: a bearer instrument held outside any institutional relationship, under the direct control of the holder.

Physical cash is a bearer instrument: possession confers the entitlement, and seizure requires physical presence and legal process. DDUSD in a self-custody wallet has the same structure. The holder controls the private key; the tokens are under direct custody; no institutional intermediary holds them. A licensing condition requiring a centralized administrative key with post-issuance override capability over self-custody wallet addresses would eliminate this property — engineering into a federally licensed stablecoin, as a condition of its authorization, a standing override capability over all self-custody wallet transactions. Three independent authorities establish that this property should be preserved.

Executive Order 14178, Sections 1(a)(i) and 1(a)(v) (January 23, 2025). Section 1(a)(i) establishes as express executive policy "protecting and promoting the ability of individual citizens and private-sector entities alike to access and use for lawful purposes open public blockchain networks without persecution, including the ability to ... transact with other persons without unlawful censorship, and to maintain self-custody of digital assets." Section 1(a)(v) directs "taking measures to protect Americans from the risks of Central Bank Digital Currencies (CBDCs), which threaten the stability of the financial system, individual privacy, and the sovereignty of the United States." A centralized administrative key with unilateral freeze authority over self-custody wallet addresses would produce, as a permanent architectural feature, the standing override capability that section 1(a)(v) identifies as threatening — not in a government-operated system, but in a federally licensed private system as a condition of its authorization. Where "technological capability to comply" in section 4(a)(6)(B) presents genuine interpretive ambiguity, EO 14178's policy commitments in sections 1(a)(i) and 1(a)(v) support the reading that does not require a centralized administrative key as a licensing condition.

21st Century ROAD to Housing Act, §1001 (adding Federal Reserve Act §16A(c)) (Senate passed 89–10, March 12, 2026). Federal Reserve Act §16A(c), as added by Section 1001 of the ROAD Act, provides that the CBDC prohibition enacted by that legislation "shall not prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency."

Digital Asset Market Clarity Act of 2025 (CLARITY Act), §604 (adding Federal Reserve Act §10(11)(C)) (House passed 294–134; Senate Banking Committee passed 15–9, May 14, 2026). Federal Reserve Act §10(11)(C), as added by CLARITY Act §604, provides, in identical language, that the CBDC prohibition in that legislation "may not be construed to prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency." As a dedicated digital asset market structure bill advanced by the Senate Banking Committee — which has direct oversight jurisdiction over FinCEN and OFAC — the CLARITY Act carries particular weight as Congressional intent on the PPSI compliance question. Neither the ROAD Act nor the CLARITY Act has yet been enacted; both are citable as evidence of Congressional policy direction.

Two independent legislative vehicles with identical language evidence a deliberate bipartisan consensus: open, permissionless, private dollar-denominated currency that preserves the privacy properties of physical currency is a category Congress intends to protect. DDUSD is designed to

be precisely this instrument. A licensing condition requiring a centralized administrative key would foreclose that category. Where "technological capability to comply" presents genuine interpretive ambiguity, EO 14178 and this cumulative Congressional intent support the reading that does not impose that condition.

These authorities address, by their terms, the protections of U.S. persons. A centralized administrative key cannot honor that limitation in practice: without KYC/KYB records for self-custody wallet holders, there is no mechanism to determine whether a given holder is a U.S. person. The key operates on addresses, not on identity. A compliance mechanism directed at self-custody wallets on the ground that some holders may not be U.S. persons therefore simultaneously subjects every U.S. person holding DDUSD in self-custody to the same override capability — without the ability to distinguish them. The protections EO 14178 and the cited legislation establish for U.S. persons are given practical effect only if self-custody wallets, as a class, are not subject to protocol-level override.

C. The “Accounts” Definition: §1033.240(b) Read Consistently with §1010.230(c)

Proposed §1033.240(b) extends the lawful order compliance obligation to orders regarding payment stablecoins "held by a third party, including in an account not with or controlled by a permitted payment stablecoin issuer." FinCEN has proposed not to define "account" in the lawful order context, but has proposed account definitions for PPSIs elsewhere in the same regulatory package. Proposed §1010.230(c) defines "account" for PPSIs as "a formal relationship between a customer and a permitted payment stablecoin issuer established to provide or engage in services, dealings, or other financial transactions." Proposed §1010.605(c)(2)(v) applies an analogous definition. Both require a formal customer relationship with the PPSI.

A self-custody (or non-custodial) wallet address — the terms are used interchangeably in this comment and in our prior OCC filings — has no formal relationship with DDUSD, LLC. Reading §1033.240(b)’s extension to "accounts not with or controlled by a permitted payment stablecoin issuer" consistently with FinCEN’s own proposed account definitions leads to a single conclusion: that extension reaches custodial accounts held at Financial Intermediary layer entities, where formal customer relationships exist — not self-custody wallet addresses. We respectfully request that the preamble to the final rule confirm this reading.

D. Architectural Pluralism

The GENIUS Act does not mandate the centralized administrative key as the exclusive permissible means of satisfying section 4(a)(6)(B). The statute specifies the outcome — compliance with lawful orders — without prescribing the mechanism. DDUSD, LLC’s compliance architecture achieves that outcome for the population of lawful orders specifying accounts held at Financial Intermediary layer entities or persons identifiable through their KYC/KYB records, through co-signature authority and Financial Intermediary coordination as described in Section III.A.

FinCEN acknowledges in the NPRM preamble that the proposed rule “neither prescribes how PPSIs should implement the technical capability requirement.” This flexibility exists precisely to accommodate issuers whose architecture achieves compliance through alternative mechanisms. A reading that treats the centralized administrative key as the only permissible implementation would eliminate the architectural diversity that a technology-neutral compliance standard supports, and would concentrate in every U.S.-licensed stablecoin issuer simultaneously a

standing override capability over all self-custody wallet transactions — the structural property EO 14178 and cumulative Congressional intent identify as harmful.

E. Procedural Constraints on Centralized Administrative Keys

The GENIUS Act section 2(16)(B) reasonable particularity standard constrains what a court may order. It does not and cannot constrain what a centralized administrative key executes, because the key operates at the address layer with no visibility into the internal accounting of shared pools, bridging contracts, or other infrastructure holding multiple parties' assets. The gap between the legal particularity of an order and the execution precision of a centralized key is architectural and cannot be resolved by better-drafted orders; the execution mechanism cannot match that specificity at the application layer. Protocols that hold freezable assets in pooled structures inherit this blast radius from the upstream issuer's centralized key, regardless of their own compliance design.

Two episodes in the public record demonstrate that this gap has produced documented harm under properly authorized judicial process.

On March 23, 2026, Circle froze USDC balances in sixteen active business hot wallets — crypto exchanges, online casinos, and foreign currency exchange platforms — pursuant to a sealed civil TRO in S.D.N.Y. No. 26-cv-2327. The sixteen addresses had no apparent connection to each other or to the subject of the underlying litigation. The order was judicially authorized; the execution was not limited to its target.

On May 29, 2026, a TRO in *Newton AC/DC Fund L.P. et al. v. Maxim Ermilov et al.* (Judge P. Casey Pitts, N.D. Cal.) directed Circle to blacklist a specific wallet that had deposited funds into Zama's cUSDC smart contract pool. Because Circle's blacklist function operates at the address layer with no visibility into the pool's internal accounting, executing the order against the pool address froze the entire pool — locking every depositor regardless of any connection to the underlying dispute. On its scheduled June 1 review, the issuing court determined the freeze was unwarranted and lifted it. The order was specific and properly scoped; the execution mechanism could not match the order's precision.

Any PPSI that implements a centralized administrative key with post-issuance freeze capability should be required to exercise that capability exclusively pursuant to a lawful order meeting the GENIUS Act section 2(16) definition: an order issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the payment stablecoins or accounts subject to blocking with reasonable particularity, and subject to judicial or administrative review or appeal as provided by law. This requirement addresses the practice of exercising centralized keys on the basis of instruments that do not meet the section 2(16) definition — administrative designations and informal requests without the particularity and review requirements the statute was written to require. It does not resolve the structural execution gap described above, which is architectural to the centralized key design and which the two documented episodes confirm persists even under valid judicial process.

DDUSD, LLC's co-signature architecture satisfies the reasonable particularity requirement by design. Co-signature authority operates on identified persons through Financial Intermediary KYC/KYB records, not on wallet addresses. When a lawful order is directed at an identified person, DDUSD, LLC executes against that person's primary market access — refusing new issuance and redemption co-signatures for that person — without touching tokens held by any other party. Execution precision matches the legal particularity of the order as a structural

property of the architecture, not as a policy choice subject to administrative error or override. The structural execution gap documented above does not exist in this design: there is no address-layer key whose blast radius can exceed the scope of the order directing its use.

F. Confirmations Requested

We respectfully request that FinCEN and OFAC address the following in the final rule or accompanying preamble:

- Confirm that DDUSD, LLC's co-signature authority, Financial Intermediary coordination, and SDN screening satisfy the technical capability requirements of proposed §1033.240(a), consistent with the flexibility acknowledged in the preamble;
- Confirm that the same architecture satisfies proposed §1033.240(b) for primary market activity and for tokens held in custodial relationships at Financial Intermediary layer entities subject to U.S. AML/CFT obligations;
- Confirm in the preamble that "accounts not with or controlled by a permitted payment stablecoin issuer" in proposed §1033.240(b) refers to custodial accounts at Financial Intermediary layer entities consistent with proposed §1010.230(c), and does not extend the obligation to self-custody wallet addresses;
- Confirm that the GENIUS Act does not require a centralized administrative key as a condition of PPSI authorization, and that co-signature authority and Financial Intermediary coordination constitutes a permissible implementation of the technological capability requirement consistent with EO 14178, the ROAD Act, and the CLARITY Act;
- Confirm that co-signature authority operating on identified persons through Financial Intermediary KYC/KYB records, without an address-layer key, inherently satisfies the execution precision aspect of the reasonable particularity requirement as a structural property of its design — execution cannot produce effects beyond the scope of the directing order because there is no address-layer mechanism capable of doing so — and fulfills the section 4(a)(6)(B) compliance obligation consistent with the flexibility acknowledged in the preamble; and
- Confirm that any PPSI implementing a centralized administrative key with post-issuance freeze capability is required to exercise that capability exclusively pursuant to a lawful order meeting the section 2(16) definition, specifying the stablecoins or accounts with reasonable particularity, with each exercise documented and subject to supervisory audit.

IV. Proposed §1033.210 — AML/CFT Program Requirements

For purposes of this section, "primary market" and "secondary market" are as defined in Section III.A. DDUSD, LLC's AML/CFT compliance program will address both markets through distinct mechanisms calibrated to the compliance tools available for each.

For primary market activity, DDUSD, LLC will maintain a risk-based AML/CFT program under proposed §1033.210, encompassing a CIP for all direct customers, SDN screening and on-chain monitoring before any co-signature is authorized, transaction monitoring, SAR filing for reportable activity identified in primary market relationships, and the full set of BSA obligations applicable to PPSIs.

The secondary market is served by three distinct populations, each presenting a different compliance profile:

Subcategory (a) — Financial Intermediaries subject to U.S. AML/CFT obligations: licensed exchanges, on/off-ramp operators, and custodial wallet providers registered as money services businesses or otherwise subject to BSA/AML requirements. These entities hold KYC/KYB records, file SARs, and implement Travel Rule compliance under their own independent U.S. AML/CFT and OFAC sanctions obligations.

Subcategory (b) — Financial Intermediaries in jurisdictions with inadequate AML/CFT obligations: foreign exchanges not subject to U.S. BSA/AML requirements. Post-issuance secondary market circulation of DDUSD on subcategory (b) exchanges is outside DDUSD, LLC's operational control — DDUSD, LLC holds no centralized administrative key with post-issuance reach. DDUSD, LLC will address this through: (i) contractual restrictions in primary market agreements prohibiting facilitation of transfers to subcategory (b) exchanges; (ii) cooperation with any OFAC designation proceedings directed at non-compliant exchanges; and (iii) on-chain monitoring as a continuous surveillance layer. DDCP Foundation respectfully submits that OFAC designation authority directed at the exchange is the appropriate regulatory mechanism for secondary market enforcement against this population.

Subcategory (c) — Self-custody wallets and peer-to-peer transactions: secondary market activity in which DDUSD tokens transfer directly between self-custody wallet holders without involvement of any Financial Intermediary layer entity. The compliance capability question for this population is addressed in Section III.

A. Support for the Risk-Based Framework

DDUSD, LLC supports the risk-based, outcome-focused AML/CFT program framework proposed in §1033.210. Applying program obligations calibrated to DDUSD, LLC's primary market activities — where it holds direct counterparty relationships and contractual compliance infrastructure — is the appropriate design. The proposed rule's flexibility for PPSIs to "consider innovative approaches to comply with BSA requirements" is consistent with DDUSD, LLC's compliance architecture.

The enforcement record FinCEN's own preamble cites — the \$225 million USDT civil forfeiture, the Hamas wallet actions, the Garantex redesignation, the DPRK IT worker seizures — was achieved through judicial process, OFAC designation, blockchain analytics, and Financial Intermediary cooperation. None of these outcomes required real-time issuer-initiated protocol override of self-custody wallets. This record validates the compliance model DDUSD, LLC proposes.

DDUSD, LLC will comply with beneficial ownership collection requirements for legal entity customers under §1010.230, will respond to 314(a) requests, may participate in 314(b) voluntary information sharing, and will maintain the enhanced due diligence and special measures programs required under §§1033.600–630.

B. Customer Identification Program

DDUSD, LLC will implement a CIP compliant with proposed §1033.210(b)(2) for all primary market participants. All direct customers will be subject to KYC/KYB identity verification before any issuance or redemption co-signature is authorized.

C. SAR Filing — Secondary Market Exclusion and \$5,000 Threshold

DDUSD, LLC endorses FinCEN's preliminary determination that requiring PPSIs to file SARs on secondary market transactions imposes burden exceeding the benefit, and supports the proposed §1033.320(g) clarification that a transaction is not "conducted or attempted by, at, or through" a PPSI solely because a transfer by third parties results in an interaction with the issuer's smart contract. Subcategory (a) Financial Intermediary layer entities are independently subject to SAR filing obligations and hold the KYC/KYB records and transaction monitoring infrastructure necessary to identify suspicious activity. Requiring duplicate SAR obligations at the issuer level would add no material enforcement value beyond what Financial Intermediary layer filings already capture. We respectfully request that FinCEN confirm this exclusion explicitly in the final rule, including its application to peer-to-peer transfers between self-custody wallets.

DDUSD, LLC endorses the proposed \$5,000 SAR monetary threshold under proposed §1033.320(a)(2). The \$5,000 threshold is correctly calibrated to the PPSI framework; the rationale for the lower \$2,000 MSB threshold does not apply to PPSIs subject to customer identification program requirements.

D. Currency Transaction Reporting

DDUSD, LLC supports FinCEN's determination not to impose CTR obligations on payment stablecoin transactions. The term "currency" under §1010.100(m) does not include payment stablecoins, and proposed §§1033.310 through 1033.315 correctly reflect this. Reserve management transactions involving electronic funds transfers from primary market participants to reserve custodians carry CTR obligations at the banking institution level under those institutions' own BSA obligations, not at the PPSI level. DDUSD, LLC will maintain CTR compliance for any physical currency exchanges if future business activities encompass such transactions, though such transactions are not anticipated in the initial DDUSD operating model.

E. Travel Rule and Recordkeeping

DDUSD, LLC will comply with the Recordkeeping Rule and Travel Rule obligations applicable to PPSIs through proposed §§1033.400 and 1033.410 for primary market transactions at or above the \$3,000 threshold. DDUSD, LLC holds direct counterparty relationships for primary market activity and will collect, retain, and transmit the required originator and beneficiary information. Travel Rule application to subcategory (c) peer-to-peer transfers between self-custody wallets implicates the same interpretive question addressed in Section III, which DDUSD, LLC intends to address through the OCC pre-application engagement process.

F. Confirmations Requested

We respectfully request that FinCEN confirm: (i) the \$5,000 SAR monetary threshold is appropriate for PPSIs subject to CIP requirements; (ii) PPSIs are not required to file SARs on secondary market transactions, including peer-to-peer transfers between self-custody wallets, consistent with proposed §1033.320(g); and (iii) OFAC designation authority directed at subcategory (b) exchanges is the appropriate regulatory mechanism for secondary market enforcement against that population, without requiring PPSIs to maintain real-time post-issuance override capability over tokens in secondary market circulation.

V. Proposed 31 CFR Part 502 — OFAC Sanctions Compliance Program

For purposes of this section, subcategories (a), (b), and (c) are as defined in Section IV.

A. DDUSD, LLC as a U.S. Person

DDUSD, LLC, as a Wyoming limited liability company formed in the United States, will be a U.S. person subject to the full scope of OFAC sanctions obligations from formation.

B. Part 502 Framework — General Support

The five-pillar structure proposed in Part 502 — senior management commitment, risk assessment, internal controls, testing and auditing, and training — is consistent with OFAC's 2019 Compliance Framework and appropriate for the PPSI context. DDUSD, LLC will incorporate Part 502 compliance into its pre-operational planning and will have an effective sanctions compliance program in place before commencing primary market activity.

C. Support for the §502.303 "Payment Stablecoin-Related Activity" Definition

DDUSD, LLC supports OFAC's proposed §502.303 definition of "payment stablecoin-related activity," which covers all activity involving a payment stablecoin from the time of issuance through removal from circulation, whether on the primary or secondary market. This definition accurately describes the full lifecycle of DDUSD tokens. The definition's descriptive scope does not predetermine the compliance mechanism applicable to each category: primary market, subcategory (a), (b), and (c) secondary market activity each has a distinct compliance treatment as described in Sections IV and V of this comment, reflecting the different regulatory tools available for each population.

D. Primary Market Sanctions Compliance

DDUSD, LLC will implement SDN list screening and on-chain monitoring at primary market onboarding, in addition to KYC/KYB verification for all primary market relationships. No issuance or redemption co-signature will be authorized for transactions involving SDN-listed persons. DDUSD, LLC will maintain blocking, rejection, and recordkeeping obligations under proposed Part 502, including timely RPPR reporting to OFAC.

E. Secondary Market Sanctions Compliance by Population

Subcategory (a) Financial Intermediary layer entities are independently subject to OFAC sanctions obligations as U.S. persons or as entities otherwise subject to U.S. law. Their independent OFAC compliance — including SDN screening, blocking of designated persons, and RPPR reporting — satisfies the secondary market sanctions compliance obligation for DDUSD tokens held at those entities.

For subcategory (b), DDUSD, LLC's co-signature authority enables refusal of primary market interactions with known non-compliant exchange addresses identified through on-chain monitoring and SDN screening. Post-issuance secondary market circulation on subcategory (b) exchanges is outside DDUSD, LLC's operational control, as acknowledged in Section IV. DDUSD, LLC will cooperate fully with any OFAC investigation or enforcement action targeting subcategory (b) exchanges, including providing on-chain analytics data to the extent available.

For subcategory (c) self-custody activity, the compliance analysis tracks Section III: the digital bearer instrument framework, EO 14178, and cumulative Congressional intent establish that protocol-level override capability is not required as a licensing condition. DDUSD, LLC will address the full scope of the self-custody question through the OCC pre-application engagement process.

F. Procedural Constraints on Centralized Administrative Keys

DDCP Foundation repeats in the OFAC context the request made in Section III.E. The structural execution gap identified there — centralized keys operating at the address layer with no visibility into pooled infrastructure — applies to OFAC-ordered actions directly: a court order targeting a specific designated wallet, executed through a centralized key against a pooled contract, produces the same pool-wide freeze documented in Section III.E regardless of whether the order arises from civil litigation or OFAC authority. The uniform section 2(16) requirement additionally addresses the practice of exercising centralized keys on the basis of OFAC administrative designations without the particularity and judicial review requirements section 2(16) was written to require. A uniform judicial process requirement across all PPSI architectures ensures that both dimensions of the procedural concern are addressed regardless of the issuer's technical design. DDUSD, LLC's co-signature architecture achieves OFAC sanctions compliance through execution on identified persons via Financial Intermediary KYC/KYB records, not through wallet-address-level action — eliminating the structural execution gap that OFAC-directed orders against pooled infrastructure would otherwise produce.

G. Confirmations Requested

We respectfully request that OFAC confirm: (i) SDN list screening and on-chain monitoring before co-signing satisfies the blocking and rejection obligations under Part 502 for primary market activity; (ii) subcategory (a) Financial Intermediary layer entities' independent OFAC obligations satisfy the secondary market sanctions compliance obligation for DDUSD tokens held at those entities; (iii) subcategory (b) secondary market activity is appropriately addressed through contractual restrictions and OFAC designation authority directed at non-compliant exchanges, without requiring the PPSI to maintain real-time post-issuance override capability; (iv) any PPSI implementing a centralized administrative key must exercise it exclusively pursuant to a lawful order meeting the section 2(16) definition, with each exercise documented and subject to supervisory audit; and (v) a PPSI compliance architecture that operates on identified persons through Financial Intermediary KYC/KYB records, without an address-layer key, satisfies the OFAC sanctions compliance obligation for primary market activity and inherently avoids the structural execution gap that pool-wide freezes produce.

VI. Responses to Specific Requests for Comment

NPRM Section IX.B Q7 — Definition of "Accounts" in the Lawful Order Context

FinCEN asks whether "accounts" for purposes of lawful orders should include wallet addresses. We respectfully urge FinCEN not to adopt this reading and to confirm that "accounts" means formal customer relationships at regulated financial institutions, consistent with proposed §1010.230(c) and the analysis in Section III.C. The wallet-address reading would eliminate the reasonable particularity protection Congress embedded in section 2(16)(B), expose innocent downstream recipients of fungible tokens to protocol-level freezes without notice or process, and

condition PPSI licensing on a centralized administrative key inconsistent with EO 14178 and cumulative Congressional intent. Extending 'accounts' to wallet addresses would require address-layer execution — the precise mechanism that creates the structural execution gap documented in Section III.E, in which even a properly scoped court order produces pool-wide blast radius because the execution mechanism cannot match the order's legal precision.

NPRM Section IX.D Q27, Q28, Q30 — Technical Capabilities

On Q27: the final rule should confirm that the flexibility stated in the preamble extends to issuers whose architecture relies on co-signature authority and Financial Intermediary layer coordination rather than protocol-level address blocking. DDUSD, LLC's co-signature architecture constitutes a compliant implementation of this principle: by operating exclusively on identified persons through Financial Intermediary KYC/KYB records rather than on wallet addresses, it achieves execution precision that matches the legal particularity of any directing order as a structural property — execution cannot produce effects beyond the identified person's primary market access because there is no address-layer mechanism capable of doing so. On Q28: the proposed rule should not be read to require protocol-level address-blocking capability as the exclusive implementation method; doing so would constrain architectures that achieve equivalent enforcement outcomes through alternative means while preserving the self-custody properties EO 14178 and cumulative Congressional intent protect. A co-signature architecture that operates on identified persons is structurally incapable of producing the blast radius effects Section III.E documents — not because of a policy constraint, but because it possesses no address-layer execution mechanism. Where centralized key architectures require procedural constraints to limit blast radius, person-based co-signature architectures cannot produce it. On Q30: conditioning PPSI licensing on protocol-level freeze capability would produce the standing override capability EO 14178 was designed to prevent and would drive sophisticated illicit activity toward non-compliant tokens not subject to U.S. licensing requirements.

NPRM Section IX.D Q31, Q32 — Secondary Market Compliance

The three-subcategory taxonomy in Section IV constitutes DDCP Foundation's response. The final rule should apply distinct compliance frameworks calibrated to each population's characteristics and to the tools available to reach it, consistent with FinCEN's own risk-based approach.

NPRM Section IX.E Q33 — Currency Transaction Reporting

DDUSD, LLC supports FinCEN's determination not to impose CTR obligations on payment stablecoin transactions. The term "currency" under §1010.100(m) does not include payment stablecoins, and the proposed treatment in §§1033.310 through 1033.315 is appropriate. Reserve management fiat transactions carry CTR obligations at the banking institution level, not at the PPSI level. DDUSD, LLC will maintain CTR compliance for any physical currency exchanges should future business activities encompass them.

NPRM Section IX.E Q35, Q36 — SAR Obligations for Secondary Market

DDCP Foundation supports FinCEN's proposal to exclude PPSIs from SAR filing obligations on secondary market transactions, as developed in Section IV.C. The exclusion should apply to peer-to-peer transfers between self-custody wallets as well as Financial Intermediary intermediated secondary market transactions, and should be confirmed explicitly in the final rule.

NPRM Section IX.G Q41 — Travel Rule and Recordkeeping

DDUSD, LLC will comply with the Recordkeeping Rule and Travel Rule obligations for primary market transactions at or above the \$3,000 threshold through proposed §§1033.400 and 1033.410. Primary market Travel Rule compliance is straightforward: DDUSD, LLC holds direct counterparty relationships and will collect, retain, and transmit the required originator and beneficiary information. Travel Rule application to subcategory (c) peer-to-peer transfers between self-custody wallets implicates the same interpretive question addressed in Section III and will be addressed through the OCC pre-application engagement process.

NPRM Section IX.J Q50 — Effective Date

DDUSD, LLC supports the proposed 12-month effective date. As an information entity entering the PPSI framework without a predecessor MSB registration, DDUSD, LLC requires this runway to build compliance infrastructure through formation, pre-application engagement, and PPSI application.

NPRM Section X Q4, Q5 — OFAC Technical Controls and Flexibility

On Q4: for primary market activity, co-signature authority and SDN screening provide the blocking mechanism; for subcategory (a) secondary market activity, those entities' own OFAC obligations provide the compliance layer; for subcategory (b), DDUSD, LLC's compliance posture is developed in Section IV of this comment; for subcategory (c), the digital bearer instrument framework, EO 14178, and cumulative Congressional intent establish that protocol-level override capability is not required as a licensing condition, as developed in Section III. On Q5: we respectfully request that OFAC confirm that co-signature authority combined with subcategory (a) Financial Intermediary layer coordination satisfies the proposed rule's technical capability requirements for primary market activity and Financial Intermediary intermediated secondary market activity.

VII. Conclusion and Confirmations Requested

DDCP Foundation submits this comment as steward of the DDCP open-source protocol infrastructure, on behalf of DDUSD, LLC (in formation) as prospective OCC-licensed PPSI. All positions in this comment are consistent with the OCC Comment (OCC-2025-0372-0257, filed May 1, 2026) and the OCC Supplementary Comment (OCC-2025-0372-0349, filed May 20, 2026).

We respectfully request that FinCEN and OFAC address the following confirmations in the final rule or accompanying preamble:

§1033.240 — Compliance Capability (FinCEN and OFAC). Confirm that DDUSD, LLC's co-signature authority, Financial Intermediary coordination, and SDN screening and on-chain monitoring satisfy the technical capability requirements of proposed §1033.240(a), consistent with the flexibility acknowledged in the preamble; that the same architecture satisfies proposed §1033.240(b) for primary market activity and for tokens held in custodial relationships at Financial Intermediary layer entities; that "accounts not with or controlled by a permitted payment stablecoin issuer" in proposed §1033.240(b) refers to custodial accounts at Financial Intermediary layer entities consistent with proposed §1010.230(c) and does not extend the obligation to self-custody wallet addresses; and that the GENIUS Act does not require a centralized administrative key as a condition of PPSI authorization, and that co-signature

authority and Financial Intermediary coordination constitutes a permissible implementation of the technological capability requirement consistent with EO 14178, the ROAD Act, and the CLARITY Act, and that a co-signature architecture that executes on identified persons through KYC/KYB records without an address-layer key inherently satisfies the execution precision component of any lawful order's reasonable particularity requirement.

§1033.210 — AML/CFT Program (FinCEN). Confirm that the \$5,000 SAR monetary threshold is appropriate for PPSIs subject to CIP requirements; that PPSIs are not required to file SARs on secondary market transactions, including peer-to-peer transfers between self-custody wallets, consistent with proposed §1033.320(g); and that OFAC designation authority directed at subcategory (b) exchanges is the appropriate regulatory mechanism for secondary market enforcement against that population, without requiring PPSIs to maintain real-time post-issuance override capability over tokens in secondary market circulation.

Part 502 — OFAC Sanctions Compliance (OFAC). Confirm that SDN list screening and on-chain monitoring before co-signing satisfies the blocking and rejection obligations under Part 502 for primary market activity; that subcategory (a) Financial Intermediary layer entities' independent OFAC obligations satisfy the secondary market sanctions compliance obligation for DDUSD tokens held at those entities; that subcategory (b) secondary market activity is appropriately addressed through contractual restrictions and OFAC designation authority directed at non-compliant exchanges, without requiring the PPSI to maintain real-time post-issuance override capability; and that DDUSD, LLC's sanctions compliance program, incorporating the five pillars of proposed §502.201(b) and addressing all payment stablecoin-related activity as defined in proposed §502.303 through the mechanisms described in this comment, will constitute an effective sanctions compliance program under the GENIUS Act.

Centralized Administrative Keys (FinCEN and OFAC). Confirm that any PPSI implementing a centralized administrative key with post-issuance freeze capability is required to exercise that capability exclusively pursuant to a lawful order meeting the GENIUS Act section 2(16) definition — issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the stablecoins or accounts with reasonable particularity, subject to judicial or administrative review — with each exercise documented and subject to supervisory audit, coordinated across PPSI supervisors consistent with GENIUS Act section 13.

DDUSD, LLC intends to submit a formal PPSI application with the OCC and welcomes the opportunity to engage FinCEN and OFAC through appropriate pre-application channels on the questions raised in this letter.

Respectfully submitted,

DDCP Foundation, Inc.

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